H2 2026 performance and pay review: plan for the People team

Prepared by Rachel Obi (HR Business Partner) for Marco Bianchi (Head of People). Approved by Daniel Reyes (CFO) on 18 September 2026 for the budget figures. Last updated 22 September 2026.

Confidential to the People team until managers are briefed on 1 October 2026. The budget figures stay confidential to the People team, Finance and Exec after that.

1. Timeline

Step	Dates	Who
Manager briefing sessions	1 and 2 October	People team
Self-reviews in Kestrel People	5 to 16 October	Every eligible employee
Manager reviews and peer feedback	19 to 30 October	Managers
Promotion nominations due	30 October, 17:00	Managers
Calibration sessions by department	9 to 13 November	Heads of department with the HR partner
Promotion panels	16 to 20 November	Panels (section 5)
Promotion and merit recommendations locked	27 November	Heads of department
Exec and CFO sign-off	1 December	Amara Okafor, Daniel Reyes
Outcomes communicated to employees	From 7 December	Managers
Promotions effective	1 January 2027, paid in the January payroll	Payroll
Merit increases effective	1 April 2027, paid in the April payroll	Payroll

2. Who is eligible

- Employees who joined on or before 1 July 2026 and have passed probation by 30 October.
- Employees on family leave or long-term sick leave are eligible and are reviewed on the work they did in the period.
- Interns, contractors and people who have resigned are not eligible.

3. Budget

Pool	Share of base payroll	Notes
Merit increases (1 April 2027)	3.0%	Allocated to departments by base payroll
Promotions (1 January 2027)	1.0%	Held centrally by the People team
Total	4.0%	The April 2026 pay rise averaged 4.5%, in line with the FY2026 budget

The lower merit pool reflects the hiring pause from 1 October and the revised year-end headcount target.

Heads of department may move up to 0.5 percentage points of their merit pool between teams. Anything beyond that, or any single increase over 15%, needs Marco Bianchi and Daniel Reyes to approve.

4. Ratings and merit guide

Rating	Label	Guide distribution	Merit increase guide
5	Exceptional	5 to 10%	6 to 8%
4	Strong	about 25%	4 to 6%
3	Solid	50 to 60%	2 to 4%
2	Developing	about 10%	0 to 1%
1	Not meeting expectations	under 5%	0%, with a performance plan

The distribution is a guide for calibration, not a quota. A department more than 10 percentage points away from the guide in ratings 4 and 5 combined explains why at calibration.

5. Promotions

- Managers nominate with evidence against the career framework for the next level: examples, outcomes and feedback from at least 2 colleagues outside the team.
- Promotion increases are 8 to 12% of base salary, paid from the central promotion pool, on top of any merit increase.
- Each panel has 3 members: the head of the candidate's department, a manager from a different department, and the HR partner for the area. The candidate's own manager presents the case but does not score.
- Anyone with a conflict of interest about a candidate (for example a close relationship, or an open grievance involving them) must tell Marco Bianchi before the panel and is replaced.

Changes from the H1 2026 cycle

- A manager from a different department now sits on every panel.
- Panel scoring sheets are kept for 2 years in /HR/Casework, so decisions can be reviewed.
- Every unsuccessful nominee gets written feedback against the career framework within 10 working days of the panel.
- Feedback that a candidate is "not ready" must point to something the manager has raised with them in a 1:1 before the panel.

6. Calibration rules

1. Calibrate ratings before pay. Pay recommendations open only after a department's calibration is signed off.
2. Look for gaps by gender, office and part-time status in ratings and recommended increases. The People team brings this analysis to each session.
3. Record the reason for any rating changed in calibration.

7. Communicating outcomes

Managers get a pack for each team member on 4 December with the rating, any promotion, and the merit increase and new salary that will apply from 1 April 2027. Conversations happen from 7 December, in person or on video, never by message alone. Pay letters are issued through Kestrel People on 14 December.

8. Open questions for Marco

- Dublin pay ranges were last benchmarked in March 2025. Do we refresh before calibration, or after?

- Should Customer Success rotas count towards the "outside the team" feedback requirement?